Chartis Regnology

Regulatory Reporting in 2025: A New Era of Standardization

In 2023, Chartis and Regnology collaborated on the theme of bringing back tech to the RegTech universe, spotlighting the transformative role of technology in compliance. Our 2024 collaboration on the cost of regulatory reporting offered a practical framework to help financial institutions assess their compliance expenditure while modernizing their regulatory reporting infrastructure.

In 2025, Chartis and Regnology offer a new collaboration, sharing more timely perspectives on the evolving regulatory reporting landscape. This year's focus areas are the current state of the regulatory reporting market, the persistent data management challenges faced by institutions, and the imperative for standardized regulatory reporting architectures for both regulated entities and regulators.

We also provide our perspective on the varying levels of regulatory certainty across jurisdictions and explore how these dynamics are accelerating the shift toward structured, scalable and resilient data architectures. Our analysis spans a wide spectrum of financial institutions, including tiered banks, credit unions, challenger banks, broker-dealer firms and insurance companies. We offer insights into how each is adapting to regulatory complexity in an era defined by data, digitalization and strategic transformation.

Regulatory reporting: at the crossroads of geopolitics, economics and digital transformation

Since the 2008 global financial crisis, the banking and financial services industry has experienced a steady expansion in regulatory obligations and associated reporting requirements. A similar regulatory surge followed the 2020 pandemic, catalyzing developments across domains such as liquidity risk; environmental, social and governance (ESG); climate risk; artificial intelligence (AI) governance and prudential frameworks, including Basel III/IV, the Fundamental Review of the Trading Book (FRTB) and International Financial Reporting Standard (IFRS) 9. A clear industry trend has emerged: a shift toward more granular, data-intensive and increasingly real-time reporting.

Today, however, the geopolitical and economic landscape is exerting unprecedented influence on how regulatory reporting frameworks evolve globally. Inflationary pressures, energy insecurity, shifting geopolitical power dynamics and the resurgence of deregulatory sentiment, especially in the US, are all shaping what financial institutions are required to report, and how quickly they must do so.

Until recently, many market participants expected that regulation in areas such as AI, climate risk and ESG would continue to tighten and converge globally. But current market signals suggest otherwise. The pace of implementation of these emerging regulations has slowed, driven by political shifts, regulatory fatigue and lobbying from financial and industry stakeholders.

Chartis and Regnology believe that this marks a structural shift in the regulatory landscape, one with implications that could last through the decade. While the US is clearly leading the deregulatory charge, it is not alone. Changes in the US are likely to trigger lobbying pressure in other regions, particularly the European Union (EU), where there will be mounting resistance to regulatory asymmetry that disadvantages local institutions.

Still, Europe (including the UK) remains one of the most mature regulatory environments globally, where regulated entities are well-versed in a broad spectrum of regulatory regimes. These include financial reporting, statistical and prudential disclosures, IFRS 9 compliance, and transaction and tax reporting, among others. However, even within Europe, signs of pushback are evident. These include the postponement of the European Central Bank's (ECB's) Integrated Reporting Framework (IReF) to 2029, which reflects hesitancy in harmonizing the ECB's statistical frameworks across all EU member states.

Meanwhile, the Middle East and North Africa (MENA) and Asia-Pacific (APAC) markets continue their progress toward maturity, with regulators such as the Monetary Authority of Singapore (MAS), the Australian Prudential Regulation Authority (APRA) and the Hong Kong Monetary Authority (HKMA) increasingly adopting data-driven, digitally enabled regulatory architectures. Many of these jurisdictions are aligning with European frameworks, using them as benchmarks in designing and scaling their own supervisory models.

Core data management challenges

For regulated entities and regulators

Effective regulatory data management is foundational to the success of the regulatory reporting ecosystem – yet remains one of its most complex challenges. Both **regulated entities** (such as banks, broker-dealers and insurers) and **regulators** (such as central banks and supervisory authorities) face similar yet distinct hurdles in sourcing, transforming, validating and consuming regulatory data (see Table 1 on page 3).

Challenges and issues exist throughout the regulatory reporting landscape. On the regulated entities' side, these include:

- Data sourcing across various upstream systems.
- Aggregating the data.
- Performing regulatory data validations.
- Managing data workflows.
- Developing logical data models based on the type of reporting for a given jurisdiction.
- Performing regulatory calculations (including scenario analysis and stress testing).
- Complying with BCBS 239 and equivalent frameworks around data governance and data lineage.
- Generating reports and submitting them to regulators.

Regulators have similar challenges in collating data from various regulated entities, performing data validations, aggregating data and consuming it for analysis.